Absorbing Transition DID Results: AKM Failure Bad — Downgrade

	Any Failure		Restatement		Violation	
	Pooled	Mandatory / Voluntary	Pooled	Mandatory / Voluntary	Pooled	Mandatory / Voluntary
Panel A: Absorbing DID: Trim						
× Mandatory Rotation		0.127***		0.034**		0.104***
		(0.028)		(0.016)		(0.029)
× Voluntary Rotation		0.070***		0.027***		0.053***
		(0.010)		(0.006)		(0.009)
Pooled	0.081***		0.026***		0.063***	
	(0.008)		(0.005)		(0.007)	
Mandatory − Voluntary		0.056*		0.008		0.051*
Difference p-value		0.061		0.654		0.090
Observations	43,191	37,271	43,191	37,271	43,191	37,271
Firms	5,263	4,964	5,263	4,964	5,263	4,964
Panel B: Absorbing DID: Strict						
× Mandatory Rotation		0.115***		0.005		0.104***
		(0.034)		(0.016)		(0.034)
× Voluntary Rotation		0.066***		0.027***		0.050***
		(0.014)		(0.007)		(0.013)
Pooled	0.072***		0.025***		0.056***	
	(0.013)		(0.006)		(0.012)	
Mandatory − Voluntary		0.049		-0.021		0.055
Difference p-value		0.178		0.216		0.133
Observations	26,175	24,592	26,175	24,592	26,175	24,592
Firms	3,086	3,059	3,086	3,059	3,086	3,059
Panel C: Fixed-Window DID: 2-Year Window						
× Mandatory Rotation		0.090***		0.035**		0.071***
		(0.020)		(0.015)		(0.019)
× Voluntary Rotation		0.067***		0.032***		0.045***
		(0.007)		(0.005)		(0.006)
Pooled	0.083***		0.040***		0.057***	
	(0.005)		(0.004)		(0.005)	
Mandatory − Voluntary		0.023		0.004		0.026
Difference p-value		0.284		0.824		0.193
Observations	48,325	41,928	48,325	41,928	48,325	41,928
Firms	5,521	5,217	5,521	5,217	5,521	5,217
Panel D: Fixed-Window DID: 3-Year Window						
× Mandatory Rotation		0.090***		0.032**		0.072***
		(0.019)		(0.013)		(0.018)
× Voluntary Rotation		0.070***		0.033***		0.048***
		(0.006)		(0.004)		(0.006)
Pooled	0.083***		0.039***		0.057***	
	(0.005)		(0.004)		(0.004)	
Mandatory − Voluntary		0.019		-0.001		0.024
Difference p-value		0.322		0.964		0.202
Observations	50,106	43,578	50,106	43,578	50,106	43,578
Firms	5,521	5,260	5,521	5,260	5,521	5,260
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Audit Firm FE	No	No	No	No	No	No
Sample years	Full	2004 onward	Full	2004 onward	Full	2004 onward

Notes: Each panel reports a firm-year regression with firm and year fixed effects; audit-firm fixed effects are not included. Standard errors clustered at the firm level are in parentheses. The pooled row uses the full observed period and reports the overall quality-dummy coefficient. Mandatory and voluntary rows use 2004 onward and report coefficients from the rotation-type specification. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.10$.